

6.2 RELATIVE PRICE AND THE LAW OF DEMAND

Multiple Choice Questions

1985/AL/I/06

In grocery stores, wine of types A and B are priced at \$60 and \$90 respectively. The same wines sell for \$90 and \$120 in restaurants. If grocery stores sell equal quantities of each, then restaurants will

- A. also sell equal quantities of each.
- B. sell more of type A than type B.
- C. sell more of type B than type A.
- D. sell only one type of wine.

1985/AL/I/29

Suppose the airport tax per passenger leaving Hong Kong is increased from \$100 to \$250. Which of the following is FALSE?

- A. The average length of airplane journeys tends to rise.
- B. The number of travellers will fall.
- C. The ticket prices of shorter flights will fall.
- D. The ticket prices of longer flights will rise.

1986/AL/I/26

'Dynasty' is a wine produced jointly by the French and the Chinese in China. As the finest table wine produced in China, it is served only in the finest restaurants in China. This is because

- A. only foreigners like French wine and they visit primarily the finer restaurants in China.
- B. the Chinese government prohibits the selling of this wine in poorer restaurants.
- C. the Chinese want to earn foreign currencies, and therefore the wine is sold only to foreigners, who visit primarily the finer restaurants.
- D. with more costly settings and services in the finer restaurants, good wine becomes relatively cheaper.

1989/AL/I/14

Sunkist oranges are regarded as the finest quality oranges produced in California. However, it is observed that a relatively small quantity of Sunkist oranges is sold in Los Angeles, but they are plentiful in Hong Kong. This phenomenon is explained by

- A. the fact that Hong Kong and Californian consumers have different preferences for oranges.
- B. the hypothesis that the demand curve for oranges is negatively sloped.
- C. the super-abundance of oranges in California.
- D. the fact that Sunkist oranges are advertised in Hong Kong.

1992/AL/I/08

According to the law of demand, if taxi drivers impose a \$5 additional charge per trip regardless of distance,

- A. the number of short distance trips will have a larger percentage fall than long distance trips.
- B. the number of short distance trips will have a smaller percentage fall than long distance trips.
- C. the number of short and long distance trips will both fall by the same percentage.
- D. the ratio of short to long distance trips will not change.

1994/AL/I/07

Country A imports two brands of garments, X and Y, from Country B. Brand X is of better quality and is higher priced. Now, a tariff rate of 10% is imposed on both X and Y. If there is no other source of supply of garments, we predict that

- A. the proportion of X in the total garments imported decreases.
- B. the proportion of X in the total garments imported increases.
- C. the proportion of X in the total garments imported remains unchanged.
- D. the total amount of garments imported remains unchanged.

1996/AL/I/12

Suppose the present airport tax is changed. Instead of a lump sum tax, an ad valorem tax on the airline ticket price is imposed. Which of the following must result from the change?

- A. an increase in the percentage of first class passengers
- B. a longer journey on average
- C. lower ticket prices (excluding tax) with poorer quality of service.
- D. None of the above is correct.

1997/AL/I/08

A per unit tax imposed on cigarettes will tend to generate which of the following effects?

- A. The quality of cigarettes will improve.
- B. The length of cigarettes will increase.
- C. Cigarettes will be sold by piece, not by package.
- D. Both A and B.

1997/AL/I/11

Which of the following is **NOT** implied by the law of demand?

- A. Relatively more high quality vegetables are sold in urban markets than in rural markets which are closer to the farms.
- B. An ad valorem tax on whisky leads to a greater drop in the sale of lower-priced whisky.
- C. People tend to eat more in buffet dinners than in ordinary dinners.
- D. The number of car accidents rises when the law requires the drivers to wear seat belts.

2000/AL/I/22

If a uniform per-unit tax on wine is removed, then

- A. the price of high-quality wine will decrease.
- B. the price of low-quality wine will decrease.
- C. the relative price of high-quality wine will increase.
- D. All of the above.

2001/AL/I/08

If the government changes the same lump-sum sale tax to each and every customer going to eat in restaurants,

- A. the price of food in restaurants will be reduced.
- B. a customer will eat less each time he goes to a restaurant and he will go less often.
- C. a customer will go to restaurants less often, but he will go to the higher-class restaurants.
- D. None of the above.

2001/AL/1/20

A unit sales tax imposed on cigarettes implies that

- A. the cigarettes produced will be longer.
- B. more smokers will buy cigarettes by the carton (條裝).
- C. the quantity of tobacco consumed will not be affected.
- D. the age distribution of smokers will not be affected.

2002/AL/1/15

The law of demand would be rejected if

- A. a larger quantity of cheap model motorbikes were sold near the place of manufacture than in a far away market.
- B. the ratio of the number of first class passengers to that of economy class passengers rose after the removal of the airport departure tax.
- C. the ratio of high-quality red wine sold to low-quality red wine sold remained unchanged after the imposition of an ad valorem tax.
- D. more mobile phones were sold during a promotion period when discounts were offered to customers.

2004/AL/1/21

There are two types of cars: luxury cars and ordinary cars. If a uniform lump-sum tax is imposed on the purchase of a new car,

- A. the proportion of luxury cars will increase.
- B. the proportion of ordinary cars will increase.
- C. the number of luxury cars will increase.
- D. the number of ordinary cars will increase.

2006/AL/1/08

Which of the following pairs of incidents is **INCONSISTENT** with the law of demand?

- A. Terrorist attacks in a country and a fall in the number of visitors to that country
- B. Heavier penalties for speeding and a reduced number of casualties in car accidents
- C. An imposition of quotas on garment exports and a fall in the quality of garments exported
- D. An invention of a new software program which tracks the illegal downloading of movies and an increase in the sales revenue of movie companies

2007/AL/1/08

Which of the following pairs of observations is inconsistent with the law of demand?

- A. an increase in unemployment benefits and an increase in the number of unemployed people.
- B. a sharp rise in the prices of dinners during Christmas Eve and a decrease in the number of people eating at home.
- C. an increase in the rental of parking spaces and a decrease in the average quality of vehicles.
- D. None of the above

2008/AL/1/09

Which of the following statements is **INCONSISTENT** with the law of demand?

- A. A restaurant charges one dollar for one cooked chicken.
- B. A publisher sells some books well below the original cost of production.
- C. A hotel charges lower room rates for travel agents.
- D. Foreign tourists tend to stay in cheaper hotels than local tourists.

2008/AL/I/16

Consider a unit tax as against an ad valorem tax imposed on cigarettes. Which of the following is correct?

- A. The unit tax tends to increase the length of the cigarettes produced.
- B. For the same amount of tax collected, the ad valorem tax tends to encourage more smuggling of cigarettes.
- C. The price elasticity of demand is easier to estimate with the ad valorem tax than the unit tax.
- D. The price elasticity of demand is easier to estimate with the unit tax than the ad valorem tax.

2009/AL/I/11

The law of demand predicts that

- A. if the demand for a good is inelastic, its quantity demanded will change by a smaller amount with a change in price.
- B. the birth rate increases when the income tax exemption for children increases.
- C. people tend to choose lower quality wine after the abolition of the ad valorem alcohol duty.
- D. the number of short distance trips will fall while the number of long distance trips will rise after a \$1 additional charge mile is imposed on taxi rides.

2010/AL/I/09

Which of the following statements is **NOT** implied by the law of demand?

- A. A relaxation of a garment quota leads to a decline in garment quality.
- B. A law which prohibits the advertising of products leads to improvements in product quality.
- C. An increase in the penalty on drunk driving leads to a reduction in the number of car accidents.
- D. A natural disaster in Taiwan leads to a fall in the number of tourists visiting Taiwan.

2011/AL/I/09

Which of the following is **NOT** implied by the law of demand?

- A. Customers tend to buy more items when there is a long waiting line at the cashier in a supermarket.
- B. Consumers tend to buy less lower-quality red wine after the abolition of the unit tax on red wine.
- C. Developers tend to build higher-quality housing units on a piece of land with a good view.
- D. Companies tend to spend more on entertaining clients when entertainment expenses are tax deductible.

2012/AL/I/08

A lump-sum airport tax has been replaced by an *ad valorem* (percentage) tax on air tickets. Which of the following will be a result of such a change?

- A. The total number of passengers may be unaffected.
- B. Travellers will have a longer journey on average.
- C. The airlines are indifferent as long as the tax payments under the two schemes are the same.
- D. The percentage of first-class passengers will rise.

2012/AL/I/09

Which of the following statements is **INCOSISTENT** with the law of demand?

- A. A unit tax on cigarettes tends to increase the length of the cigarettes produced.
- B. A regulation requiring compulsory use of seat belts tends to decrease the number of traffic accidents.
- C. Luxury cars are relatively more abundant in Hong Kong than in Europe.
- D. An increase in the unemployment benefit increases the unemployment rate.

2013/DSE/I/16

Which of the following is **INCONSISTENT** with the law of demand?

- A. When a higher per-unit import tariff is imposed, the quality of garment imports worsens.
- B. When a government reduces the unemployment benefit, the number of unemployed people drops.
- C. When political unrest in a country causes riots in its major cities, the number of tourists visiting the country drops.
- D. When people expect the price of the shares of a listed company to rise, the price of those shares rises.

2015/DSE/I/18

Which of the following is **INCONSISTENT** with the law of demand?

- A. More high-quality Japanese grapes are imported to Hong Kong during Mid-Autumn Festival.
- B. An increase of the per unit tax on beer results in a fall in the quantity of small-bottle beer sold in the market.
- C. After the introduction of the airport departure tax which is a fixed amount for any traveller, the average length of airplane journeys decreases.
- D. The birth rate increases when the income tax allowance for children increases.

2016/DSE/I/18

Which of the following is **INCONSISTENT** with the law of demand?

- A. When the government imposes an ad valorem tax (i.e. the tax is a certain percent of the price) on red wine, the ratio of high-quality red wine sold to low-quality red wine sold remains unchanged.
- B. A larger quantity of expensive fruits is sold in a faraway market than a market near the farm.
- C. Price of residential flat and quantity transacted are positively related during an economic boom.
- D. An increase in the monthly rental of parking spaces will lead to a decrease in the average quality of vehicles that use the parking spaces.

2017/DSE/I/13

Which of the following is **INCONSISTENT** with the law of demand?

- A. The abolishment of per unit import tariff on garment results in a rise in the quality of imported garments.
- B. Live fishes sold in a market near the fish farm have a higher price than frozen fishes sold in a faraway market.
- C. The ratio of high-quality white wine sold to total white wine sold remains unchanged when the government imposes an ad valorem tax on white wine.
- D. Developers tend to build higher-quality housing units on a piece of land with a good view.

2018/DSE/I/19

Which of the following statements is correct after the adjustment of taxi fare shown below?

Existing taxi fare	
First 2 kilometres:	\$20
Every subsequent 200 metres:	\$1.5

Adjusted taxi fare	
First 2 kilometres:	\$25
Every subsequent 200 metres:	\$1.5

- A. Passengers will take more long-distance taxi trips.
- B. The ratio of short-distance taxi trips taken to long-distance taxi trips taken will decrease.
- C. The total revenue received by taxi drivers will increase.
- D. The fixed cost of operating taxi service will increase.

2019/DSE/I/20

Starting from the academic year 2017-18, the Hong Kong Government provides a subsidy of \$30 000 annually for students pursuing full-time, self-financed undergraduate programmes (自資學士學位課程) offered by local private educational institutions.

Which of the following are the possible effects of this subsidy scheme?

- (1) The unemployment rate will drop as labour force will increase.
 - (2) The scheme helps equalise opportunities because students from low-income households will have a better chance to receive higher education.
 - (3) The full employment output level will increase in the future because the average productivity increases after people receiving better education and training.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2022/DSE/I/18

Country A imports a huge amount of red wine every year via shipping.

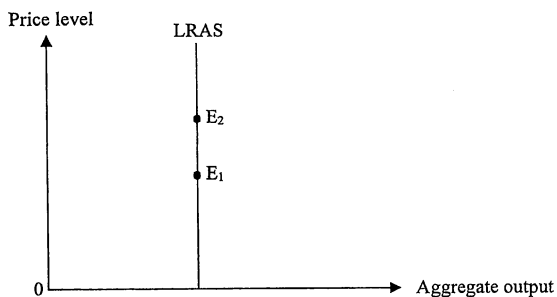


Suppose the shipping cost of each container rises from \$250 to \$1 000. What will be the effect of the increase in shipping cost on the red wine sold in Country A?

- A. More red wine will be imported.
- B. The total expenditure on high-quality red wine will drop by the same percentage as that on low-quality red wine.
- C. The proportion of low-quality red wine sold in the market will decrease.
- D. The average quality of red wine sold in the market will decrease.

2025/DSE/I/28

The diagram below shows the long run aggregate supply curve of a country.



Which of the following would result in a change in the long run equilibrium point from E_1 to E_2 ?

- A. The production of the country is disrupted by extreme weather.
- B. The infrastructure of the country is improved by a government construction project.
- C. There is a persistent increase in the price level.
- D. Households' desire to save decreases.

2025/DSE/I/29

Which of the following can explain why a long run aggregate supply curve is vertical?

- (1) Input prices can be perfectly adjusted in the long run.
- (2) Firms are unable to adjust their output levels in the long run.
- (3) Technological level is not constant in the long run.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

2025/DSE/I/30

When the short run aggregate output exceeds the full-employment output level, ____.

- A. an increase in the required reserve ratio by the central bank may help bring the aggregate output back to the full-employment output level
- B. the aggregate output would fall back to the full-employment output level due to a decrease in aggregate demand through the market adjustment mechanism
- C. there would be an excess supply in the factor market
- D. the full-employment output level would increase until it is equal to the short run aggregate output

Short & Structured Questions

1993/AL/I/9

Consider a country which seeks to impose a significant tax on the import of automobiles. This country may (a) impose a uniform unit tax for each and every automobile imported, or (b) impose an ad valorem tax as a percentage of the market value of the automobile.

Suppose with either (a) or (b) the government would receive the same total tax revenue. Which of the two schemes would have a higher average quality of the automobiles imported? Explain. (10 marks)

1995/AL/I/6(c)

Suppose the Hong Kong government decides to limit the number of private cars to its present level. This is done by issuing to each existing vehicle a quota permit without which a vehicle will not be allowed to operate on the road. This quota permit is freely transferable (saleable) in the market. In order to drive a new car on the road, therefore, it is necessary to obtain a quota permit in the market.

Assuming the demand for private cars is rising, what will the effects of the quota system be upon the average quality of vehicles operating on the roads? Explain. (5 marks)

1998/AL/I/6

Beginning in the early 70's, countries in Asia have all been enforced to meet quota requirements when they export garments to the United States. This export quota is imposed on a unit basis, that is, the garments exported are counted by unit, not by their quality or market value.

For many years after the introduction of this system, the quotas held by Hong Kong garment manufacturers were freely transferable (saleable) at uncontrolled market prices; indeed, for many years Hong Kong was the only place in Asia which allowed a free market for quota transactions.

Use the law of demand to explain (a) why there had been a significant improvement in the quality of HongKong garments exported to the United States under the quota system; and (b) why this improvement in garment quality was far more significant in Hong Kong than in other Asian countries. (10 marks)

2010/AL/I/8(b)

The United States has imposed punitive tariffs on the importation of automobile tyres manufactured in China. The tariff rates are very high and are designed to be imposed in three successive years: 35 percent in the first year, 30 percentage in the second year, and 25 percent in the third year.

If, instead of imposing the above import tariffs, the US government imposes a unit import tax on automobile tyres manufactured in China, would you expect the quality of the tyres exported from China to the US to improve, worsen or stay the same? Explain. (5 marks)

2014/DSE/II/9(c)

Many countries have considered imposing 'soft drink tax' for health reasons. Suppose a country decides to impose a per unit tax on the sellers for every bottle of soft drink sold in the market.

'As the amount of tax imposed on each bottle is the same irrespective of the bottle size, the proportion of larger-bottle soft drinks sold in the market will increase.' Explain this argument using the law of demand. (5 marks)

2016/DSE/II/13(b)(iii)

The airport corporation plans to build an additional runway. There are two proposals to finance the runway.

Proposal B: the airport corporation charges a lump-sum fee on every departing traveler

Discuss the effects of the two proposals on the average flight distance for departing travellers of Country H. (4 marks)

2021/DSE/II/2

Refer to the following taxi fare arrangement.

Original fare (whole day)	
First 2 kilometres	\$30
Every subsequent 200 metres	\$2

Suppose a late-night surcharge of \$20 will be added to the original fare on any taxi trips from 1:00 am to 5:59 am. How will this surcharge affect the average travel distance of taxi passengers during late-night? Explain.

(4 marks)

2023/DSE/II/11(e)

In Hong Kong, fans of popular singers often complain that they are unable to buy concert tickets of their idols at the official prices.

- (e) It is observed that fans from overseas tend to buy higher-priced concert tickets when buying through the official channel. Based on the law of demand, explain this phenomenon.

(2 marks)

2024/DSE/II/10(d)

The government of City B actively promotes the development of tourism industry.

Suppose some airlines in City B hold promotion campaigns that a total of 20 000 flight tickets to City B are given out for free.

- (d) To further stimulate the tourism industry, the government of City B abolishes the lump-sum fuel surcharge on flight tickets. Explain how the average flight distance would be affected.

(3 marks)